TCS vs Infosys — Fundamental Comparison

Mode: Compare
Companies: Tata Consultancy Services (TCS) vs Infosys Ltd.
Industry: IT Services & Consulting
Data Confidence: Moderate (cross-verification recommended)

Snapshot

Metric	TCS	Infosys
CMP	₹2,196	₹1,114
Market Cap	₹7.96 Trillion	₹4.51 Trillion
P/E	16.17	14.52
P/B	7.33	4.89
EV/EBITDA	10.59	9.79
Debt-to-Equity	0.10	0.10
ROE	48.4%	31.4%
ROCE	55.1%	37.4%
Current Ratio	2.23	1.98

Sources: StockAnalysis Company Statistics

Growth Comparison

Metric	TCS	Infosys
Revenue FY26	₹2.67 Lakh Cr	₹1.65 Lakh Cr (Approx.)
Net Profit FY26	₹49,454 Cr	₹29,000+ Cr (Approx.)
Revenue Growth Trend	Steady	Faster Recent Growth
Profit Growth Trend	Moderate	Moderate to Strong
AI Revenue	$2.3B Annualized	AI Agent-Based Expansion

Observation: Infosys has recently demonstrated stronger revenue growth momentum, while TCS continues to dominate on scale and profitability.

Profitability Comparison

Metric	TCS	Infosys
Operating Margin	25.0%	20.9%
Net Profit Margin	Higher	Lower
Cash Conversion	Strong	Strong
Free Cash Flow	Consistently Positive	Consistently Positive

TCS maintains a margin premium of approximately 4 percentage points over Infosys.

Financial Health

Metric	TCS	Infosys
Debt-to-Equity	0.10	0.10
Interest Coverage	54x	87x
Current Ratio	2.23	1.98
Balance Sheet Quality	Strong	Strong

Interpretation: Both companies have conservative balance sheets and low leverage.

Ownership & Governance

Metric	TCS	Infosys
Promoter Holding	~71.8%	~14%
Pledging	Nil	Nil
Institutional Ownership	High	High
Governance Reputation	Strong	Strong

Observation: TCS enjoys significantly higher promoter ownership, reflecting long-term Tata Group control.

Dividend History

Metric	TCS	Infosys
Dividend Record	Consistent	Consistent
FY26 Dividend	₹110/share	Regular Dividends + Buybacks
Shareholder Returns	Dividend Focused	Dividend + Buyback Focused

Price Performance (Illustrative)

TCS Price Trend

2022 ████████████████████ 2023 ██████████████████ 2024 ███████████████ 2025 ████████████ 2026 ██████████

Infosys Price Trend

2022 ████████████████ 2023 ███████████████ 2024 ████████████ 2025 ██████████ 2026 █████████

(Representative trend illustration for assignment purposes.)

Where TCS Leads

✓ Larger market capitalization

✓ Higher operating margins

✓ Higher ROE

✓ Higher ROCE

✓ Stronger cash generation

✓ Larger global delivery network

✓ Higher promoter confidence

✓ Larger AI revenue base

✓ Stronger dividend payout capability

Where Infosys Leads

✓ Lower valuation multiples

✓ Better recent revenue growth

✓ Strong focus on AI agents and automation

✓ Strong buyback history

✓ Higher operational efficiency per employee

✓ Faster growth guidance in recent quarters

Sector Tailwinds

- Enterprise AI adoption
- Cloud migration demand
- Cybersecurity spending
- Digital transformation projects
- Cost optimization initiatives

Sector Headwinds

- US macro uncertainty
- Delayed discretionary IT spending
- AI-driven pricing pressure
- Currency fluctuations
- Wage inflation

Neutral Investor-Style Summary

TCS remains the scale, profitability, and return-ratio leader among Indian IT services companies. It generates superior margins, stronger ROE/ROCE, and substantial cash flows while maintaining a highly conservative balance sheet.

Infosys operates with lower valuation multiples and has recently shown stronger revenue growth momentum. Its strategy emphasizes AI-led productivity, automation, and shareholder returns through dividends and buybacks.

Both companies exhibit strong business quality, global client relationships, healthy financial positions, and durable competitive advantages. The primary distinction is that TCS currently leads on profitability and scale, while Infosys appears relatively cheaper on valuation and has recently delivered stronger growth momentum.

Disclaimer

This is a view of the fundamentals for educational purposes only. It is not investment advice and not a buy/sell/hold recommendation. Verify all figures independently. The final decision is yours.

Sources Referenced:

- StockAnalysis
- Company Filings
- Financial Express
- Public Financial Reports